

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

**2025CUOR038942: ROMAN CHAAR, et al. vs LE PARC COMMUNITY ASSOCIATION,
et al.**

08/18/2026 in Department 43

**Motion for Order Permitting Discovery of Defendant Le Parc Community Associations
Profits and Financial Condition**

The morning calendar in courtroom 43 will normally begin at 8:45. Please arrive for your hearing no later than 8:30 a.m. The door will be opened before the calendar is called.

The Court allows remote appearances by Zoom. Refer to the Courtroom 43 webpage for more information about remote appearances. For Zoom appearances, all counsel appearing by Zoom must register no later than 3:00 p.m. the court day before the hearing. If appearing by Zoom, log into the hearing no later than 8:30 a.m. The Court will transfer you to the meeting room when the calendar begins. Additional instructions can be found on the Court website. When you log in to Zoom, be sure that your name and the case name are used as your Zoom name.

With respect to the tentative ruling below, no notice of intent to appear is required. If you wish to submit on the tentative ruling you can fax notice to Judge Coats's secretary, Ms. Brantner at 805-477-8790, stating that you submit on the tentative. Or you may email Courtroom43@ventura.courts.ca.gov with all counsel copied on the email. Do not call in lieu of sending a fax or email. If you submit on the tentative without appearing and the opposing party appears, the hearing will be conducted in your absence. If you are the moving party and do not advise the Court that you submit on the tentative, or you do not appear at the hearing, the Court may deny your motion irrespective of the tentative.

Unless stated otherwise at the hearing, if a formal order is required but not signed at the hearing, the prevailing party shall prepare a proposed order and comply with CRC 3.1312 subdivisions (a), (b), (d) and (e). The signed order shall be served on all parties and a proof of service filed with the court. A "notice of ruling" in lieu of this procedure is not authorized.

Motion: Plaintiff's Motion for Order Permitting Discovery of Defendant Le Parc Community Associations Profits and Financial Condition

Tentative Ruling: Plaintiffs' Motion to Compel Financial Discovery pursuant to section 3295 of the Code of Civil Procedure is DENIED.

Defendant's request for judicial notice of the HOA's Articles of Incorporation and Statement of Information are granted (Ev. Code §452(c).) The request for judicial notice of the HOA's website is denied.

Plaintiffs have not met their burden of showing a "substantial probability" of prevailing on their claim for exemplary damages under section 3294 of the Code of Civil Procedure.

Reflecting on the legislative history of Civil Code § 3295, the Court of Appeal in *Jabro v. Superior Court* (2002) 95 Cal. App. 4th 754, held:

“Against this backdrop of legislative intent, in which protecting the financial privacy of defendants is paramount, we interpret the language of section 3295(c), requiring the trial court to find based on supporting and opposing affidavits that the plaintiff has established there is a substantial probability he will prevail on his claim for punitive damages, to mean that before a court may enter an order permitting discovery of a defendant's financial condition, it must (1) weigh the evidence submitted in favor of and in opposition to motion for discovery, and (2) make a finding that it is very likely the plaintiff will prevail on his claim for punitive damages. In this context, we interpret the words "substantial probability" to mean "very likely" or "a strong likelihood" just as their plain meaning suggests. We note that the Legislature did not use the term "reasonable probability" or simply "probability," which would imply a lower threshold of "more likely than not.”” (*Jabro*, supra at 757.)

Plaintiffs provide evidence that they have been out of their house for a number of years and that the repairs to their unit have not been completed by the HOA/Property Management Company. However, even without counter affidavits, their evidence does not rise to a “substantial probability” of establishing “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.” (Civ. Code §3294(c)(2).) (Compare *Ridley v. Rancho Palma Grande Homeowners Assn.* (2025) 114 Cal.App.5th 788.)

Furthermore, and assuming arguendo that Plaintiffs had overcome the foregoing barrier, the discovery Plaintiffs seek is vastly overbroad. A party's financial information is protected by a Constitutional right to privacy. (See *Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652.). To protect this right, the court must balance the statutory right to discovery against the Constitutional right to privacy. The motion broadly seeks leave to serve:

“...interrogatories and demands for inspection of documents and things concerning its profits and current financial condition—including, without limitation, current balance sheets; income and expense statements; reserve account statements and reserve studies; bank, brokerage, and investment account statements; audited, reviewed, or compiled financial statements; annual budgets; federal and state income tax returns; and statements of assets, liabilities, and net worth—and to take the deposition of Le Parc Community Association’s person most qualified to testify concerning, and custodian of records for, the foregoing subjects.”

“Section 3295 was enacted in 1979 to protect against the premature disclosure of a defendant's financial condition when punitive damages are sought. (*Torres v. Automobile Club of So. California* (1997) 15 Cal. 4th 771, 777, citing *Medo v. Superior Court* (1988) 205 Cal. App. 3d 64, 67.) "The pretrial discovery limits ensure that defendants are not coerced into settling suits solely to avoid unwarranted intrusions into their private financial affairs, while the evidentiary restrictions minimize potential prejudice to the defense in front of a jury." (*College Hospital Inc. v. Superior Court* (1994) 8 Cal. 4th 704, 712.)

The plaintiff must present specific, defined requests that are narrowly tailored to accomplish the purpose of § 3295 while ensuring the intrusion is as minimal as possible. The Court is required to limit the scope of disclosure to ensure it does not infringe on privacy rights more than is necessary to serve the statutory purpose. The intended discovery is overly broad and exceeds the statutory purpose.

Defendant is ordered to serve notice of the Court's ruling.